Statistics/Data Analysis

```
1 .
2 .         {       //Table 2
3 .         {       //Table 2 Panel A Descriptive Analysis
4 .                 ttest CASH_ETR3 =  LAG_PRE_CASH_ETR3_1 if hightolow == 1
```

Paired t test

Variable	Obs	Mean	Std. Err.	Std. Dev.	[95% Conf.	Interval]
CASH_E~3	201	.2557407	.0132193	.1874154	.2296737	.2818077
LAG_PR..	201	.3038866	.0126157	.1788579	.2790098	.3287634
diff	201	-.0481459	.0164874	.2337498	-.0806574	-.0156344

```
     mean(diff) = mean(CASH_ETR3 - LAG_PRE_CASH~3_1)              t =  -2.9202
 Ho: mean(diff) = 0                              degrees of freedom =      200

 Ha: mean(diff) < 0           Ha: mean(diff) != 0           Ha: mean(diff) > 0
 Pr(T < t) = 0.0020         Pr(|T| > |t|) = 0.0039          Pr(T > t) = 0.9980
5 .                 return list

  scalars:
                 r(level) =  95
                  r(sd_2) =  .1788578621114559
                  r(sd_1) =  .1874154350264001
                    r(se) =  .0164874366982413
                   r(p_u) =  .9980499457134208
                   r(p_l) =  .0019500542865792
                     r(p) =  .0039001085731583
                     r(t) =  -2.920154890900633
                  r(df_t) =  200
                  r(mu_2) =  .3038865879771128
                   r(N_2) =  201
                  r(mu_1) =  .2557407190643288
                   r(N_1) =  201
6 .                 local obs1 = `r(N_1)'
7 .                 local mean1 = (-1*`r(mu_2)')+`r(mu_1)'
8 .                 local sd1 = (`r(N_1)'^(1/2))*`r(se)'
9 .                 display `obs1'
  201
10.                 display `mean1'
  -.04814587
11.                 display `sd1'
  .23374976
12.                 ttest CASH_ETR3 =  LAG_PRE_CASH_ETR3_1 if hightolow == 0
```

Paired t test

Variable	Obs	Mean	Std. Err.	Std. Dev.	[95% Conf.	Interval]
CASH_E~3	627	.2804408	.0077325	.1936224	.2652559	.2956256
LAG_PR..	627	.2855666	.0053569	.1341356	.275047	.2960862
diff	627	-.0051258	.0083966	.2102504	-.0216147	.0113631

```
     mean(diff) = mean(CASH_ETR3 - LAG_PRE_CASH~3_1)              t =  -0.6105
 Ho: mean(diff) = 0                              degrees of freedom =      626

 Ha: mean(diff) < 0           Ha: mean(diff) != 0           Ha: mean(diff) > 0
 Pr(T < t) = 0.2709         Pr(|T| > |t|) = 0.5418          Pr(T > t) = 0.7291
13.                 return list

  scalars:
                 r(level) =  95
                  r(sd_2) =  .1341355672592192
                  r(sd_1) =  .1936224343695379
                    r(se) =  .0083965913406126
                   r(p_u) =  .7291118106787025
                   r(p_l) =  .2708881893212975
                     r(p) =  .5417763786425951
                     r(t) =  -.6104634911929521
                  r(df_t) =  626
                  r(mu_2) =  .285566570654666
                   r(N_2) =  627
                  r(mu_1) =  .280440758190755
                   r(N_1) =  627
14.                 local obs2 = `r(N_1)'
15.                 local mean2 = (-1*`r(mu_2)')+`r(mu_1)'
16.                 local sd2 = (`r(N_1)'^(1/2))*`r(se)'
17.                 display `obs2'
  627
18.                 display `mean2'
  -.00512581
19.                 display `sd2'
  .21025038
20.                 ttesti `obs1' `mean1' `sd1' `obs2' `mean2' `sd2'
```

Two-sample t test with equal variances

	Obs	Mean	Std. Err.	Std. Dev.	[95% Conf.	Interval]
x	201	-.0481459	.0164874	.2337498	-.0806574	-.0156344
y	627	-.0051258	.0083966	.2102504	-.0216147	.0113631
combined	828	-.0155691	.0075354	.2168309	-.0303598	-.0007783
diff		-.0430201	.0175222		-.0774133	-.0086268

```
     diff = mean(x) - mean(y)                                      t =  -2.4552
 Ho: diff = 0                                    degrees of freedom =      826

     Ha: diff < 0                 Ha: diff != 0                 Ha: diff > 0
  Pr(T < t) = 0.0071         Pr(|T| > |t|) = 0.0143          Pr(T > t) = 0.9929
```

```
21.                 }
22.
23.         {       //Table 2 Panel B
24.                 ranksum DELTA_CASH_ETR3, by(hightolow) porder
```

Two-sample Wilcoxon rank-sum (Mann-Whitney) test

hightolow	obs	rank sum	expected
0	**627**	**264799**	**259891.5**
1	**201**	**78407**	**83314.5**
combined	**828**	**343206**	**343206**

unadjusted variance	**8706365.25**
adjustment for ties	**-156.72**
adjusted variance	**8706208.53**

Ho: D~H_ETR3(highto~w==0) = D~H_ETR3(highto~w==1)
z = **1.663**
Prob > |z| = **0.0963**

P{D~H_ETR3(highto~w==0) > D~H_ETR3(highto~w==1)} = **0.539**

```
25.                 median DELTA_CASH_ETR3, by(hightolow)
```

Median test

Greater than the median	hightolow 0	1	Total
no	**303**	**111**	**414**
yes	**324**	**90**	**414**
Total	**627**	**201**	**828**

Pearson chi2(**1**) = **2.8974** Pr = **0.089**

Continuity corrected:
Pearson chi2(**1**) = **2.6280** Pr = **0.105**

```
26.                 qreg DELTA_CASH_ETR3 i.hightolow
```

Iteration 1: WLS sum of weighted deviations = **193.77721**

Iteration 1: sum of abs. weighted deviations = **193.76821**
Iteration 2: sum of abs. weighted deviations = **189.79271**
Iteration 3: sum of abs. weighted deviations = **189.48625**

Median regression Number of obs = **828**
Raw sum of deviations **189.7629** (about **.93878895**)
Min sum of deviations **189.4863** Pseudo R2 = **0.0015**

DELTA_CASH~3	Coef.	Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	**-.0559593**	**.0333235**	**-1.68**	**0.093**	**-.1213681**	**.0094495**
_cons	**.955415**	**.0164185**	**58.19**	**0.000**	**.9231881**	**.9876419**

```
27.         }
28.
29.         }
30.
31.         {       //Table 3 Regression Analyses
32.                 {       //Table 3 Panel A
33.                         *Table 3 Panel A Specification 1
34.                         *Table 3 Panel A Specification 2
35.                         foreach var of varlist CASH_ETR3 DELTA_CASH_ETR3{
    2.                         reghdfe `var' i.hightolow $NETWORKlist $PARTNERlist $FIRMlist, absorb(IND YEAR) vce(cluster CUSIPNUM)
    3.                 }
```

(MWFE estimator converged in 6 iterations)

HDFE Linear regression Number of obs = **828**
Absorbing 2 HDFE groups F(**23**, **401**) = **1.96**
Statistics robust to heteroskedasticity Prob > F = **0.0056**
R-squared = **0.1792**
Adj R-squared = **0.1230**
Within R-sq. = **0.1465**
Number of clusters (**CUSIPNUM**) = **402** Root MSE = **0.1801**

(Std. Err. adjusted for **402** clusters in CUSIPNUM)

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	**-.0273273**	**.0137149**	**-1.99**	**0.047**	**-.0542895**	**-.0003652**
1.purpose_wholesale	**.0086923**	**.0277052**	**0.31**	**0.754**	**-.0457733**	**.0631578**
1.purpose_develop	**-.0152055**	**.0133556**	**-1.14**	**0.256**	**-.0414613**	**.0110502**
1.purpose_license	**-.0037194**	**.0190043**	**-0.20**	**0.845**	**-.04108**	**.0336412**
1.purpose_service	**-.0183791**	**.0180945**	**-1.02**	**0.310**	**-.0539511**	**.0171929**
1.purpose_marketing	**-.0019322**	**.0201926**	**-0.10**	**0.924**	**-.0416288**	**.0377644**
1.purpose_supply	**-.0211951**	**.0315912**	**-0.67**	**0.503**	**-.0833001**	**.0409099**
1.purpose_manufacture	**.0125931**	**.0208341**	**0.60**	**0.546**	**-.0283647**	**.0535508**
1.PARTSAMEAUDITOR	**-.0048735**	**.0151065**	**-0.32**	**0.747**	**-.0345712**	**.0248243**
PROXIMITY	**-.0538158**	**.0465047**	**-1.16**	**0.248**	**-.1452393**	**.0376077**
ebitda_at3	**-.6401389**	**.1883683**	**-3.40**	**0.001**	**-1.010452**	**-.2698261**
RnDExp3	**.126767**	**.1836022**	**0.69**	**0.490**	**-.2341761**	**.48771**
AdExp3	**.1970391**	**.3472363**	**0.57**	**0.571**	**-.4855919**	**.8796701**
SGA3	**-.0157887**	**.0666552**	**-0.24**	**0.813**	**-.1468259**	**.1152486**
CapEx3	**.0754007**	**.1778509**	**0.42**	**0.672**	**-.274236**	**.4250375**
ChangeSale3	**-.3933175**	**.1323756**	**-2.97**	**0.003**	**-.6535544**	**-.1330806**
Leverage3	**-.2076397**	**.0878889**	**-2.36**	**0.019**	**-.3804202**	**-.0348592**
Cash3	**-.1259702**	**.1123394**	**-1.12**	**0.263**	**-.346818**	**.0948776**
1.MNE3	**.0189336**	**.0195817**	**0.97**	**0.334**	**-.0195621**	**.0574293**
1.NOL3	**.0196109**	**.0219598**	**0.89**	**0.372**	**-.0235597**	**.0627815**
Intangibles3	**.0725752**	**.0647843**	**1.12**	**0.263**	**-.0547842**	**.1999345**
PPE3	**.0897401**	**.0587475**	**1.53**	**0.127**	**-.0257515**	**.2052318**
size3	**-.0093956**	**.0057487**	**-1.63**	**0.103**	**-.0206969**	**.0019057**
_cons	**.4841161**	**.0744967**	**6.50**	**0.000**	**.3376632**	**.630569**

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	20	1	**19**

(MWFE estimator converged in 6 iterations)

HDFE Linear regression		Number of obs =	**828**
Absorbing 2 HDFE groups		F(**23**, **401**) =	**1.70**
Statistics robust to heteroskedasticity		Prob > F =	**0.0238**
		R-squared =	**0.1773**
		Adj R-squared =	**0.1210**
		Within R-sq. =	**0.1273**
Number of clusters (**CUSIPNUM**) =	**402**	Root MSE =	**0.7301**

(Std. Err. adjusted for **402** clusters in CUSIPNUM)

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1334207	.0529558	-2.52	0.012	-.2375264	-.029315
1.purpose_wholesale	.0136688	.1247586	0.11	0.913	-.2315938	.2589315
1.purpose_develop	-.097263	.0548327	-1.77	0.077	-.2050585	.0105325
1.purpose_license	.0258954	.0792093	0.33	0.744	-.1298221	.1816128
1.purpose_service	-.0325576	.0687854	-0.47	0.636	-.1677826	.1026674
1.purpose_marketing	.0623625	.1106865	0.56	0.573	-.1552358	.2799608
1.purpose_supply	-.0785031	.1135941	-0.69	0.490	-.3018175	.1448113
1.purpose_manufacture	-.0294629	.0846707	-0.35	0.728	-.1959168	.136991
1.PARTSAMEAUDITOR	.0388921	.0593865	0.65	0.513	-.0778557	.1556398
PROXIMITY	-.2317211	.1671144	-1.39	0.166	-.5602509	.0968087
ebitda_at3	-1.880595	.6031961	-3.12	0.002	-3.066416	-.6947731
RnDExp3	1.041954	.774712	1.34	0.179	-.4810504	2.564958
AdExp3	-.3680462	1.139643	-0.32	0.747	-2.608467	1.872375
SGA3	.2464762	.2882259	0.86	0.393	-.3201464	.8130988
CapEx3	1.046719	.8716603	1.20	0.231	-.666876	2.760314
ChangeSale3	-1.721744	.5077893	-3.39	0.001	-2.720005	-.7234821
Leverage3	-.6755649	.2969427	-2.28	0.023	-1.259324	-.091806
Cash3	-.8486165	.4334361	-1.96	0.051	-1.700707	.0034745
1.MNE3	.0967301	.0804294	1.20	0.230	-.0613857	.254846
1.NOL3	.0229318	.0851755	0.27	0.788	-.1445145	.1903781
Intangibles3	.3084865	.2288206	1.35	0.178	-.1413513	.7583243
PPE3	.296044	.1841514	1.61	0.109	-.0659788	.6580668
size3	-.0088736	.0189699	-0.47	0.640	-.0461665	.0284192
_cons	1.346928	.2603511	5.17	0.000	.8351047	1.858752

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	20	1	**19**

```
36.
37.                 }
38.
39.                 {       //Table 3 Panel B Difference in Differences
40.                         *Table 3 Panel B Specification 1
41.                         *Unbalanced Sample, Exlcudes Overlapping Events, full set of controls & FE
42.                         reghdfe CASH_ETR1 i.TREATED##i.POST $FIRMlistannual, absorb(IND YEAR DIDYEAR) vce(cluster CUSIPNUM)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 8 iterations)
  note: 1.POST omitted because of collinearity
```

HDFE Linear regression		Number of obs =	**1,529**
Absorbing 3 HDFE groups		F(**15**, **268**) =	**1.94**
Statistics robust to heteroskedasticity		Prob > F =	**0.0200**
		R-squared =	**0.0750**
		Adj R-squared =	**0.0412**
		Within R-sq. =	**0.0324**
Number of clusters (**CUSIPNUM**) =	**269**	Root MSE =	**0.1936**

(Std. Err. adjusted for **269** clusters in CUSIPNUM)

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED	.018893	.0180327	1.05	0.296	-.0166108	.0543969
1.POST	0	(omitted)				
TREATED#POST						
1 1	-.0411437	.0238383	-1.73	0.086	-.0880779	.0057905
ebitda_at	-.2480549	.0955021	-2.60	0.010	-.4360847	-.0600251
RnDExp	-.0616058	.0971885	-0.63	0.527	-.2529559	.1297443
AdExp	.1732579	.2438333	0.71	0.478	-.3068145	.6533304
SGA	.0325519	.056551	0.58	0.565	-.0787889	.1438927
CapEx	.0918224	.1178927	0.78	0.437	-.1402912	.3239359
ChangeSale	-.0694578	.0281691	-2.47	0.014	-.1249186	-.0139969
Leverage	.0441303	.0523261	0.84	0.400	-.0588923	.1471528
Cash	-.0850543	.0620002	-1.37	0.171	-.2071237	.0370151
1.MNE	.0222636	.0147615	1.51	0.133	-.0067997	.0513269
1.NOL	.0182313	.0154432	1.18	0.239	-.0121742	.0486368
Intangibles	.0161806	.057785	0.28	0.780	-.0975896	.1299508
PPE	.0160932	.0323844	0.50	0.620	-.047667	.0798534
size	-.0044706	.0043946	-1.02	0.310	-.013123	.0041818
_cons	.3236655	.0521438	6.21	0.000	.2210019	.4263292

```
Absorbed degrees of freedom:
  -----------------------------------------------------+
  | Absorbed FE | Categories  - Redundant  = Num. Coefs |
  |-------------+---------------------------------------|
  |         IND |        11           0          11     |
  |        YEAR |        23           1          22     |
  |     DIDYEAR |         8           1           7   ? |
  -----------------------------------------------------+
  ? = number of redundant parameters may be higher
43.
44.                         *Table 3 Panel B Specification 2
45.                         *Balanced Sample, ENTROPY WEIGHTS calculated in dofile "04_SDC_COMPUSTAT_PREPARE", Exlcudes Overlapping
  > Events, full set of controls & FE
46.                         reghdfe CASH_ETR1 i.TREATED_EBAL##i.POST $FIRMlistannual [pweight = _webal], absorb(IND YEAR DIDYEAR) vc
  > e(cluster CUSIPNUM)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 8 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =      1,529
  Absorbing 3 HDFE groups                           F(  15,    268) =       1.95
  Statistics robust to heteroskedasticity           Prob > F        =     0.0190
                                                    R-squared       =     0.0929
                                                    Adj R-squared   =     0.0596
                                                    Within R-sq.    =     0.0409
  Number of clusters (CUSIPNUM) =        269        Root MSE        =     0.1935

                                  (Std. Err. adjusted for 269 clusters in CUSIPNUM)
  ------------------------------------------------------------------------------
                  |               Robust
        CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
  ----------------+-------------------------------------------------------------
    1.TREATED_EBAL |   .0228453   .0210515     1.09   0.279     -.018602    .0642925
           1.POST |          0  (omitted)
                  |
  TREATED_EBAL#POST |
             1 1  |  -.0554861   .0272933    -2.03   0.043    -.1092227   -.0017494
                  |
        ebitda_at |  -.3279659   .1343808    -2.44   0.015    -.5925422   -.0633895
           RnDExp |   .0703358   .0783177     0.90   0.370    -.0838604    .2245321
            AdExp |   .5402062   .3621621     1.49   0.137    -.1728385    1.253251
              SGA |  -.0534464   .0536427    -1.00   0.320    -.1590612    .0521684
            CapEx |   .0053294   .0809692     0.07   0.948    -.1540873     .164746
        ChangeSale |  -.0416488   .0280564    -1.48   0.139    -.0968879    .0135902
          Leverage |  -.0062253    .058498    -0.11   0.915    -.1213993    .1089487
              Cash |  -.0783437   .0615521    -1.27   0.204    -.1995308    .0428435
            1.MNE |   .0248541   .0163828     1.52   0.130    -.0074013    .0571095
            1.NOL |   .0235672   .0180229     1.31   0.192    -.0119172    .0590517
       Intangibles |   .0435691    .059392     0.73   0.464    -.0733652    .1605033
               PPE |   .0154788   .0368445     0.42   0.675    -.0570628    .0880203
              size |  -.0020064   .0049273    -0.41   0.684    -.0117075    .0076947
             _cons |   .3387193    .050342     6.73   0.000     .2396032    .4378354
  ------------------------------------------------------------------------------

  Absorbed degrees of freedom:
  -----------------------------------------------------+
  | Absorbed FE | Categories  - Redundant  = Num. Coefs |
  |-------------+---------------------------------------|
  |         IND |        11           0          11     |
  |        YEAR |        23           1          22     |
  |     DIDYEAR |         8           1           7   ? |
  -----------------------------------------------------+
  ? = number of redundant parameters may be higher
47.
48.                 }
49.
50.                 {       //Table 3 Panel C Adjustment Speed
51.                         forvalues q=1(1)5{
    2.                         reghdfe CASH_ETR1 TREATED_EBAL##POST $FIRMlistannual [pweight = _webal] if DIDYEAR <=`q', absorb(IND
  > YEAR DIDYEAR) vce(cluster CUSIPNUM)
    3.                         }
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 8 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =        899
  Absorbing 3 HDFE groups                           F(  15,    267) =       1.79
  Statistics robust to heteroskedasticity           Prob > F        =     0.0361
                                                    R-squared       =     0.1146
                                                    Adj R-squared   =     0.0624
                                                    Within R-sq.    =     0.0489
  Number of clusters (CUSIPNUM) =        268        Root MSE        =     0.1827

                                  (Std. Err. adjusted for 268 clusters in CUSIPNUM)
  ------------------------------------------------------------------------------
                  |               Robust
        CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
  ----------------+-------------------------------------------------------------
    1.TREATED_EBAL |   .0270708   .0208982     1.30   0.196    -.0140754    .0682171
           1.POST |          0  (omitted)
                  |
  TREATED_EBAL#POST |
             1 1  |  -.0458772   .0353417    -1.30   0.195    -.1154612    .0237067
                  |
        ebitda_at |  -.2522965   .1526206    -1.65   0.099    -.5527896    .0481965
           RnDExp |   .1206119   .0836001     1.44   0.150    -.0439874    .2852112
            AdExp |   1.006779    .405273     2.48   0.014     .2088413    1.804716
              SGA |  -.1405213   .0677568    -2.07   0.039    -.2739269   -.0071157
            CapEx |   .0285744   .0866219     0.33   0.742    -.1419745    .1991234
        ChangeSale |  -.0490726   .0356409    -1.38   0.170    -.1192456    .0211004
          Leverage |   .0409576   .0737332     0.56   0.579    -.1042149    .1861301
              Cash |  -.0369029   .0722346    -0.51   0.610    -.1791248    .1053191
            1.MNE |    .043725   .0190909     2.29   0.023     .006137    .0813129
            1.NOL |   .0144536   .0232787     0.62   0.535    -.0313795    .0602868
       Intangibles |   .0277418   .0740575     0.37   0.708    -.1180692    .1735528
               PPE |  -.0192763   .0377632    -0.51   0.610    -.0936278    .0550753
              size |  -.0055317   .0056813    -0.97   0.331    -.0167177    .0056542
             _cons |   .3559973   .0558261     6.38   0.000     .2460819    .4659126
```

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	**11**	
YEAR	23	1	**22**	
DIDYEAR	4	1	**3**	?

? = number of redundant parameters may be higher
note: **1bn.POST** is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression		Number of obs =	**1,076**
Absorbing 3 HDFE groups		F(**15,** **268**) =	**1.67**
Statistics robust to heteroskedasticity		Prob > F =	**0.0559**
		R-squared =	**0.1103**
		Adj R-squared =	**0.0660**
		Within R-sq. =	**0.0442**
Number of clusters (**CUSIPNUM**) =	**269**	Root MSE =	**0.1831**

(Std. Err. adjusted for **269** clusters in CUSIPNUM)

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED_EBAL	.0277788	.0211994	1.31	0.191	-.0139598	.0695173
1.POST	0	(omitted)				
TREATED_EBAL#POST						
1 1	-.058773	.0312964	-1.88	0.061	-.1203911	.0028451
ebitda_at	-.2326937	.1400606	-1.66	0.098	-.5084528	.0430654
RnDExp	.1138382	.0811012	1.40	0.162	-.0458383	.2735148
AdExp	.8275458	.4500856	1.84	0.067	-.0586076	1.713699
SGA	-.1176858	.0614769	-1.91	0.057	-.2387248	.0033532
CapEx	.0143167	.0837216	0.17	0.864	-.150519	.1791524
ChangeSale	-.0463247	.0324605	-1.43	0.155	-.1102348	.0175854
Leverage	.0321972	.0687476	0.47	0.640	-.1031568	.1675513
Cash	-.0550761	.0686182	-0.80	0.423	-.1901754	.0800233
1.MNE	.0335227	.0176017	1.90	0.058	-.0011324	.0681779
1.NOL	.0207237	.0205495	1.01	0.314	-.0197353	.0611827
Intangibles	.0326265	.0706262	0.46	0.644	-.1064263	.1716793
PPE	-.0174974	.0354357	-0.49	0.622	-.0872652	.0522704
size	-.0039693	.0052089	-0.76	0.447	-.014225	.0062863
_cons	.3474554	.0513553	6.77	0.000	.2463442	.4485666

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	**11**	
YEAR	23	1	**22**	
DIDYEAR	5	1	**4**	?

? = number of redundant parameters may be higher
note: **1bn.POST** is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression		Number of obs =	**1,241**
Absorbing 3 HDFE groups		F(**15,** **268**) =	**1.80**
Statistics robust to heteroskedasticity		Prob > F =	**0.0351**
		R-squared =	**0.1097**
		Adj R-squared =	**0.0707**
		Within R-sq. =	**0.0406**
Number of clusters (**CUSIPNUM**) =	**269**	Root MSE =	**0.1843**

(Std. Err. adjusted for **269** clusters in CUSIPNUM)

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED_EBAL	.0283609	.0211427	1.34	0.181	-.0132659	.0699878
1.POST	0	(omitted)				
TREATED_EBAL#POST						
1 1	-.0522048	.0283595	-1.84	0.067	-.1080405	.0036309
ebitda_at	-.2226544	.1303552	-1.71	0.089	-.4793049	.0339961
RnDExp	.1155786	.0809741	1.43	0.155	-.0438477	.2750049
AdExp	.8795399	.4387199	2.00	0.046	.015764	1.743316
SGA	-.1059369	.0559253	-1.89	0.059	-.2160458	.004172
CapEx	.0110053	.0807073	0.14	0.892	-.1478958	.1699063
ChangeSale	-.0417981	.0274645	-1.52	0.129	-.0958718	.0122756
Leverage	.0218196	.0624637	0.35	0.727	-.1011624	.1448016
Cash	-.059038	.0633901	-0.93	0.353	-.1838439	.0657678
1.MNE	.0261451	.0160893	1.63	0.105	-.0055323	.0578225
1.NOL	.0259666	.0179818	1.44	0.150	-.009437	.0613702
Intangibles	.0415809	.0654692	0.64	0.526	-.0873185	.1704804
PPE	-.0084389	.0331611	-0.25	0.799	-.0737284	.0568506
size	-.0033873	.0049742	-0.68	0.496	-.0131808	.0064061
_cons	.3349961	.0493822	6.78	0.000	.2377696	.4322226

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	**11**	
YEAR	23	1	**22**	
DIDYEAR	6	1	**5**	?

? = number of redundant parameters may be higher
note: **1bn.POST** is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression		Number of obs =	**1,396**
Absorbing 3 HDFE groups		F(**15,** **268**) =	**2.17**
Statistics robust to heteroskedasticity		Prob > F =	**0.0076**
		R-squared =	**0.0980**
		Adj R-squared =	**0.0624**
		Within R-sq. =	**0.0460**
Number of clusters (**CUSIPNUM**) =	**269**	Root MSE =	**0.1942**

(Std. Err. adjusted for **269** clusters in CUSIPNUM)

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED_EBAL	**.0226778**	**.0212701**	**1.07**	**0.287**	**-.0192**	**.0645556**
1.POST	**0**	(omitted)				
TREATED_EBAL#POST						
1 1	**-.0570516**	**.0282392**	**-2.02**	**0.044**	**-.1126506**	**-.0014526**
ebitda_at	**-.3609809**	**.1425246**	**-2.53**	**0.012**	**-.6415912**	**-.0803706**
RnDExp	**.0978285**	**.0776635**	**1.26**	**0.209**	**-.0550797**	**.2507366**
AdExp	**.8264128**	**.4033805**	**2.05**	**0.041**	**.0322151**	**1.620611**
SGA	**-.0779336**	**.0538793**	**-1.45**	**0.149**	**-.1840141**	**.028147**
CapEx	**.0065116**	**.0819449**	**0.08**	**0.937**	**-.1548261**	**.1678493**
ChangeSale	**-.0366868**	**.0283293**	**-1.30**	**0.196**	**-.0924631**	**.0190894**
Leverage	**-.0086289**	**.0590213**	**-0.15**	**0.884**	**-.1248332**	**.1075754**
Cash	**-.0820961**	**.063046**	**-1.30**	**0.194**	**-.2062245**	**.0420322**
1.MNE	**.0279536**	**.0168224**	**1.66**	**0.098**	**-.0051673**	**.0610744**
1.NOL	**.0295869**	**.0182556**	**1.62**	**0.106**	**-.0063558**	**.0655296**
Intangibles	**.0393435**	**.0618549**	**0.64**	**0.525**	**-.0824397**	**.1611268**
PPE	**.0174608**	**.0375838**	**0.46**	**0.643**	**-.0565362**	**.0914578**
size	**-.0039226**	**.0051953**	**-0.76**	**0.451**	**-.0141513**	**.0063061**
_cons	**.35807**	**.0522849**	**6.85**	**0.000**	**.2551287**	**.4610113**

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	**11**	
YEAR	23	1	**22**	
DIDYEAR	7	1	**6**	?

? = number of redundant parameters may be higher
note: **1bn.POST** is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression		Number of obs =	**1,529**
Absorbing 3 HDFE groups		F(**15,** **268**) =	**1.95**
Statistics robust to heteroskedasticity		Prob > F =	**0.0190**
		R-squared =	**0.0929**
		Adj R-squared =	**0.0596**
		Within R-sq. =	**0.0409**
Number of clusters (**CUSIPNUM**) =	**269**	Root MSE =	**0.1935**

(Std. Err. adjusted for **269** clusters in CUSIPNUM)

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED_EBAL	**.0228453**	**.0210515**	**1.09**	**0.279**	**-.018602**	**.0642925**
1.POST	**0**	(omitted)				
TREATED_EBAL#POST						
1 1	**-.0554861**	**.0272933**	**-2.03**	**0.043**	**-.1092227**	**-.0017494**
ebitda_at	**-.3279659**	**.1343808**	**-2.44**	**0.015**	**-.5925422**	**-.0633895**
RnDExp	**.0703358**	**.0783177**	**0.90**	**0.370**	**-.0838604**	**.2245321**
AdExp	**.5402062**	**.3621621**	**1.49**	**0.137**	**-.1728385**	**1.253251**
SGA	**-.0534464**	**.0536427**	**-1.00**	**0.320**	**-.1590612**	**.0521684**
CapEx	**.0053294**	**.0809692**	**0.07**	**0.948**	**-.1540873**	**.164746**
ChangeSale	**-.0416488**	**.0280564**	**-1.48**	**0.139**	**-.0968879**	**.0135902**
Leverage	**-.0062253**	**.058498**	**-0.11**	**0.915**	**-.1213993**	**.1089487**
Cash	**-.0783437**	**.0615521**	**-1.27**	**0.204**	**-.1995308**	**.0428435**
1.MNE	**.0248541**	**.0163828**	**1.52**	**0.130**	**-.0074013**	**.0571095**
1.NOL	**.0235672**	**.0180229**	**1.31**	**0.192**	**-.0119172**	**.0590517**
Intangibles	**.0435691**	**.059392**	**0.73**	**0.464**	**-.0733652**	**.1605033**
PPE	**.0154788**	**.0368445**	**0.42**	**0.675**	**-.0570628**	**.0880203**
size	**-.0020064**	**.0049273**	**-0.41**	**0.684**	**-.0117075**	**.0076947**
_cons	**.3387193**	**.050342**	**6.73**	**0.000**	**.2396032**	**.4378354**

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	**11**	
YEAR	23	1	**22**	
DIDYEAR	8	1	**7**	?

? = number of redundant parameters may be higher

```
52.                 }
53.                 }
54.
55.         {       //Table 4 Additional Analyses: Effects on Reporting of Operations
56.                 *Table 4 Specification 1
57.                 reghdfe SENTIMENT  i.TREATED##i.POST $FIRMlistannual, absorb(IND YEAR DIDYEAR) vce(cluster CUSIPNUM)
  (dropped 1 singleton observations)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 7 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =      1,302
  Absorbing 3 HDFE groups                           F(  15,    259) =       2.93
  Statistics robust to heteroskedasticity           Prob > F        =     0.0003
                                                    R-squared       =     0.2135
                                                    Adj R-squared   =     0.1801
                                                    Within R-sq.    =     0.0725
  Number of clusters (CUSIPNUM) =        260        Root MSE        =     0.0045

                              (Std. Err. adjusted for 260 clusters in CUSIPNUM)
  ------------------------------------------------------------------------------
                               Robust
     SENTIMENT       Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
  -------------+----------------------------------------------------------------
     1.TREATED    .0012651   .0007486     1.69   0.092    -.0002091    .0027393
       1.POST           0  (omitted)
  TREATED#POST
          1 1    -.0015208   .0006356    -2.39   0.017    -.0027725   -.0002692
  -------------+----------------------------------------------------------------
     ebitda_at    -.0009846   .0044869    -0.22   0.826    -.0098201    .0078509
        RnDExp     .0019565   .0028382     0.69   0.491    -.0036323    .0075454
         AdExp     .0119995   .0072777     1.65   0.100    -.0023314    .0263304
           SGA    -.0031159   .0013891    -2.24   0.026    -.0058514   -.0003805
         CapEx     .0035684    .001788     2.00   0.047     .0000475    .0070892
    ChangeSale      .002349   .0007358     3.19   0.002        .0009    .0037979
      Leverage     .0008766   .0019769     0.44   0.658    -.0030162    .0047694
          Cash    -.0016665    .001635    -1.02   0.309    -.0048861    .0015531
         1.MNE     .0013541   .0006087     2.22   0.027     .0001556    .0025527
         1.NOL    -.0000518   .0004294    -0.12   0.904    -.0008974    .0007937
   Intangibles    -.0004915   .0016241    -0.30   0.762    -.0036896    .0027067
           PPE     .0027682   .0014772     1.87   0.062    -.0001407    .0056771
          size    -.0003165   .0002674    -1.18   0.238    -.0008432    .0002101
         _cons    -.0089323   .0020437    -4.37   0.000    -.0129567   -.0049079
  ------------------------------------------------------------------------------

  Absorbed degrees of freedom:
  -----------------------------------------------------+
   Absorbed FE | Categories  - Redundant  = Num. Coefs |
  -------------+---------------------------------------|
           IND |        11           0          11     |
          YEAR |        22           1          21     |
       DIDYEAR |         8           1           7    ?|
  -----------------------------------------------------+
  ? = number of redundant parameters may be higher
58.
59.                 *Table 4 Specification 2
60.                 reghdfe USE_OF_NEGATIVE_WORDS  i.TREATED##i.POST $FIRMlistannual , absorb(IND YEAR DIDYEAR) vce(cluster CUSIPNUM
  > )
  (dropped 1 singleton observations)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 7 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =      1,302
  Absorbing 3 HDFE groups                           F(  15,    259) =       3.44
  Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                    R-squared       =     0.2899
                                                    Adj R-squared   =     0.2598
                                                    Within R-sq.    =     0.0816
  Number of clusters (CUSIPNUM) =        260        Root MSE        =     0.0039

                              (Std. Err. adjusted for 260 clusters in CUSIPNUM)
  ------------------------------------------------------------------------------
                               Robust
  USE_OF_NEG~S       Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
  -------------+----------------------------------------------------------------
     1.TREATED    -.0008321   .0006113    -1.36   0.175    -.0020358    .0003716
       1.POST           0  (omitted)
  TREATED#POST
          1 1     .0012411   .0004938     2.51   0.013     .0002688    .0022135
  -------------+----------------------------------------------------------------
     ebitda_at     .0015341   .0042378     0.36   0.718    -.0068108     .009879
        RnDExp     -.000348   .0022263    -0.16   0.876    -.0047321     .004036
         AdExp    -.0077558   .0068536    -1.13   0.259    -.0212517      .00574
           SGA     .0030625   .0011685     2.62   0.009     .0007616    .0053634
         CapEx    -.0033713   .0015038    -2.24   0.026    -.0063326     -.00041
    ChangeSale    -.0018106   .0006823    -2.65   0.008    -.0031541   -.0004671
      Leverage    -.0019384   .0018413    -1.05   0.293    -.0055643    .0016874
          Cash     .0021026   .0014638     1.44   0.152    -.0007799     .004985
         1.MNE    -.0011462   .0005069    -2.26   0.025    -.0021444    -.000148
         1.NOL     .0001837   .0003716     0.49   0.622    -.0005482    .0009155
   Intangibles     .0003299   .0015738     0.21   0.834    -.0027691     .003429
           PPE    -.0021849   .0013402    -1.63   0.104     -.004824    .0004541
          size     .0004727   .0002521     1.87   0.062    -.0000238    .0009692
         _cons     .0136752   .0018422     7.42   0.000     .0100476    .0173027
  ------------------------------------------------------------------------------
```

```
Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        11           0          11     |
        YEAR |        22           1          21     |
     DIDYEAR |         8           1           7    ?|
-----------------------------------------------------+
  ? = number of redundant parameters may be higher
61.
62.                 *Table 4 Specification 3
63.                 reghdfe USE_OF_TAXHAVEN  i.TREATED##i.POST $FIRMlistannual, absorb(IND YEAR DIDYEAR) vce(cluster CUSIPNUM)
  (dropped 1 singleton observations)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 7 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =      1,333
  Absorbing 3 HDFE groups                           F(  15,    265) =      14.42
  Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                    R-squared       =     0.3198
                                                    Adj R-squared   =     0.2927
                                                    Within R-sq.    =     0.2383
  Number of clusters (CUSIPNUM) =        266        Root MSE        =     0.4206

                                (Std. Err. adjusted for 266 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
USE_OF_TAX~N |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |   .0288319   .0680748     0.42   0.672    -.1052044    .1628682
      1.POST |          0  (omitted)
             |
TREATED#POST |
        1 1  |  -.124461   .0632172    -1.97   0.050    -.2489329    .0000109
             |
   ebitda_at |   .2635197   .2566439     1.03   0.305     -.241801    .7688404
      RnDExp |  -.0006453   .2139879    -0.00   0.998    -.4219781    .4206874
       AdExp |  -1.163132   .9277264    -1.25   0.211    -2.989785    .6635204
         SGA |   .7018749   .1437228     4.88   0.000      .418891    .9848589
       CapEx |   .0774394   .1359668     0.57   0.569    -.1902733     .345152
  ChangeSale |  -.0109859   .0434309    -0.25   0.801    -.0964994    .0745277
    Leverage |   -.197384   .1512263    -1.31   0.193    -.4951419     .100374
        Cash |   .0756392   .1683433     0.45   0.654    -.2558215    .4070998
       1.MNE |   .2345659   .0527577     4.45   0.000     .1306882    .3384436
       1.NOL |   .0884278   .0451255     1.96   0.051    -.0004224     .177278
 Intangibles |   .0446205   .1564983     0.29   0.776    -.2635177    .3527588
         PPE |   .0071086   .1070912     0.07   0.947    -.2037492    .2179664
        size |   .1142301   .0140711     8.12   0.000     .0865248    .1419354
       _cons |  -.6469506   .1320325    -4.90   0.000    -.9069169   -.3869844
------------------------------------------------------------------------------

  Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        11           0          11     |
        YEAR |        20           1          19     |
     DIDYEAR |         8           1           7    ?|
-----------------------------------------------------+
  ? = number of redundant parameters may be higher
64.
65.                 *Table 4 Specification 4
66.                 reghdfe NUMBER_OF_TAXHAVENS i.TREATED##i.POST $FIRMlistannual, absorb(IND YEAR DIDYEAR) vce(cluster CUSIPNUM)
  (dropped 1 singleton observations)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 7 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =      1,333
  Absorbing 3 HDFE groups                           F(  15,    265) =      12.92
  Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                    R-squared       =     0.3889
                                                    Adj R-squared   =     0.3646
                                                    Within R-sq.    =     0.3145
  Number of clusters (CUSIPNUM) =        266        Root MSE        =     0.6399

                                (Std. Err. adjusted for 266 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
NUMBER_OF_~S |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |   .0283446   .1114483     0.25   0.799    -.1910923    .2477814
      1.POST |          0  (omitted)
             |
TREATED#POST |
        1 1  |  -.1558127   .0911007    -1.71   0.088     -.335186    .0235606
             |
   ebitda_at |   .7321136   .4089436     1.79   0.075    -.0730785    1.537306
      RnDExp |  -.3329743   .3600883    -0.92   0.356    -1.041972    .3760238
       AdExp |  -2.299987   1.374524    -1.67   0.095    -5.006364    .4063899
         SGA |   1.380669   .2844669     4.85   0.000     .8205663    1.940772
       CapEx |  -.2850843   .1982842    -1.44   0.152    -.6754973    .1053286
  ChangeSale |  -.0181026   .0592926    -0.31   0.760    -.1348473     .098642
    Leverage |  -.5790783   .2620009    -2.21   0.028    -1.094947   -.0632099
        Cash |   -.001565    .236685    -0.01   0.995    -.4675874    .4644575
       1.MNE |   .3444142   .0748046     4.60   0.000     .1971273    .4917011
       1.NOL |   .0729221   .0744411     0.98   0.328    -.0736492    .2194934
 Intangibles |   .3467791   .2529466     1.37   0.172    -.1512617      .84482
         PPE |   .0859735   .1709297     0.50   0.615    -.2505796    .4225266
        size |   .2318573   .0242987     9.54   0.000     .1840142    .2797004
       _cons |  -1.498523   .2099206    -7.14   0.000    -1.911847   -1.085198
------------------------------------------------------------------------------
```

```
Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        11           0          11     |
        YEAR |        20           1          19     |
     DIDYEAR |         8           1           7    ?|
-----------------------------------------------------+
  ? = number of redundant parameters may be higher
67.         }
68.
69.         {       //Table 5 Additional Analyses: Partner Characteristics
70.
71.                 //Table 5 Panel A
72.                 *PARTSAMEBEAREGION
73.                 *Table 5 Panel A Specification 1
74.                 reghdfe CASH_ETR3 i.hightolow##i.PARTSAMEBEAREGION $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR) vce(
  > cluster CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        828
  Absorbing 2 HDFE groups                           F(  24,    401) =       1.87
  Statistics robust to heteroskedasticity           Prob > F        =     0.0085
                                                    R-squared       =     0.1789
                                                    Adj R-squared   =     0.1215
                                                    Within R-sq.    =     0.1462
  Number of clusters (CUSIPNUM) =        402        Root MSE        =     0.1803

                                        (Std. Err. adjusted for 402 clusters in CUSIPNUM)
------------------------------------------------------------------------------------------
                 |               Robust
        CASH_ETR3 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-----------------+------------------------------------------------------------------------
       1.hightolow |  -.0275948   .016075    -1.72   0.087    -.0591965    .0040069
 1.PARTSAMEBEAREGION |  -.0144865   .020424    -0.71   0.479     -.054638     .025665
                 |
hightolow#PARTSAMEBEAREGION |
                 1 1 |   .0008098   .0368643     0.02   0.982    -.0716616    .0732811
                 |
 1.purpose_wholesale |   .0075706   .0272679     0.28   0.781    -.0460353    .0611764
   1.purpose_develop |  -.0167988   .0131712    -1.28   0.203     -.042692    .0090944
   1.purpose_license |  -.0057545   .0188368    -0.31   0.760    -.0427857    .0312767
   1.purpose_service |  -.0181039   .0181123    -1.00   0.318    -.0537109     .017503
 1.purpose_marketing |  -.0033227   .0203534    -0.16   0.870    -.0433354    .0366899
   1.purpose_supply |  -.0218514   .0316956    -0.69   0.491    -.0841616    .0404588
1.purpose_manufacture |   .0139115   .0210456     0.66   0.509     -.027462     .055285
   1.PARTSAMEAUDITOR |  -.0049564   .0149934    -0.33   0.741    -.0344318     .024519
          ebitda_at3 |  -.6375491    .187753    -3.40   0.001    -1.006652   -.2684459
             RnDExp3 |   .1314299   .1841487     0.71   0.476    -.2305876    .4934473
              AdExp3 |   .2179332   .3437424     0.63   0.526    -.4578291    .8936955
                SGA3 |   -.017088   .0666468    -0.26   0.798    -.1481087    .1139327
              CapEx3 |   .0747929   .1796055     0.42   0.677    -.2782932    .4278789
         ChangeSale3 |  -.3917037    .131874    -2.97   0.003    -.6509545    -.132453
           Leverage3 |  -.2076201   .0878145    -2.36   0.019    -.3802544   -.0349858
               Cash3 |  -.1242372   .1139439    -1.09   0.276    -.3482392    .0997648
              1.MNE3 |   .0203812   .0196546     1.04   0.300    -.0182578    .0590201
              1.NOL3 |   .0192556   .0220511     0.87   0.383    -.0240947    .0626059
        Intangibles3 |   .0720987   .0652033     1.11   0.269    -.0560843    .2002817
                PPE3 |   .0862669   .0588427     1.47   0.143    -.0294118    .2019456
               size3 |  -.0096599   .0057237    -1.69   0.092    -.0209121    .0015923
               _cons |   .4889116   .0757244     6.46   0.000     .3400451     .637778
------------------------------------------------------------------------------------------
  Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        12           0          12     |
        YEAR |        20           1          19     |
-----------------------------------------------------+
75.                 *Table 5 Panel A Specification 2
76.                 reghdfe DELTA_CASH_ETR3 i.hightolow##i.PARTSAMEBEAREGION $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR
  > ) vce(cluster CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        828
  Absorbing 2 HDFE groups                           F(  24,    401) =       1.65
  Statistics robust to heteroskedasticity           Prob > F        =     0.0295
                                                    R-squared       =     0.1774
                                                    Adj R-squared   =     0.1199
                                                    Within R-sq.    =     0.1274
  Number of clusters (CUSIPNUM) =        402        Root MSE        =     0.7305

                                        (Std. Err. adjusted for 402 clusters in CUSIPNUM)
------------------------------------------------------------------------------------------
                 |               Robust
   DELTA_CASH_ETR3 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-----------------+------------------------------------------------------------------------
       1.hightolow |  -.1155777   .0605135    -1.91   0.057     -.234541    .0033855
 1.PARTSAMEBEAREGION |  -.0411357   .0907018    -0.45   0.650     -.219446    .1371747
                 |
hightolow#PARTSAMEBEAREGION |
                 1 1 |  -.0855641   .1439606    -0.59   0.553    -.3685759    .1974477
                 |
 1.purpose_wholesale |   .0043399   .1230111     0.04   0.972    -.2374872    .2461671
   1.purpose_develop |  -.1046398   .0544687    -1.92   0.055    -.2117196    .0024399
   1.purpose_license |   .0172389   .0788382     0.22   0.827    -.1377488    .1722266
   1.purpose_service |  -.0300243   .0705084    -0.43   0.670    -.1686367    .1085881
 1.purpose_marketing |   .0580595   .1139532     0.51   0.611    -.1659607    .2820798
   1.purpose_supply |  -.0808462   .1156412    -0.70   0.485     -.308185    .1464927
1.purpose_manufacture |  -.0184789   .0845736    -0.22   0.827    -.1847419    .1477841
   1.PARTSAMEAUDITOR |    .041844   .0585328     0.71   0.475    -.0732254    .1569135
          ebitda_at3 |  -1.857067   .5986748    -3.10   0.002       -3.034   -.6801339
             RnDExp3 |   1.044264   .7471133     1.40   0.163    -.4244838    2.513012
              AdExp3 |     -.2984   1.142023    -0.26   0.794    -2.543499    1.946699
                SGA3 |   .2453751   .2926456     0.84   0.402    -.3299362    .8206864
              CapEx3 |   1.046788   .8802612     1.19   0.235    -.6837154    2.777291
         ChangeSale3 |  -1.722433   .5028973    -3.43   0.001    -2.711078   -.7337884
```

Leverage3	-.6811774	.2978757	-2.29	0.023	-1.26677	-.0955843
Cash3	-.8256811	.4368458	-1.89	0.059	-1.684475	.0331129
1.MNE3	.1042881	.0804529	1.30	0.196	-.0538739	.2624502
1.NOL3	.0209527	.0851618	0.25	0.806	-.1464668	.1883721
Intangibles3	.3129781	.2278802	1.37	0.170	-.135011	.7609673
PPE3	.2835054	.1828019	1.55	0.122	-.0758645	.6428752
size3	-.0098592	.0188946	-0.52	0.602	-.047004	.0272856
_cons	1.354186	.2671526	5.07	0.000	.8289914	1.879381

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	20	1	**19**

```
77.
78.                 //Table 5 Panel B
79.                 *PARTSAMEIND
80.                 *Table 5 Panel B Specification 1
81.                 reghdfe CASH_ETR3 i.hightolow##i.PARTSAMEIND $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(YEAR) vce(cluster CU
  > SIPNUM)
  (MWFE estimator converged in 1 iterations)

  HDFE Linear regression                            Number of obs   =        828
  Absorbing 1 HDFE group                            F(  25,    401) =       2.43
  Statistics robust to heteroskedasticity           Prob > F        =     0.0002
                                                    R-squared       =     0.1749
                                                    Adj R-squared   =     0.1286
                                                    Within R-sq.    =     0.1515
  Number of clusters (CUSIPNUM) =        402        Root MSE        =     0.1795

                                    (Std. Err. adjusted for 402 clusters in CUSIPNUM)
```

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0424717	.0186544	-2.28	0.023	-.0791443	-.0057992
1.PARTSAMEIND	-.0226457	.0163935	-1.38	0.168	-.0548737	.0095823
hightolow#PARTSAMEIND						
1 1	.0358265	.0324108	1.11	0.270	-.0278897	.0995428
1.purpose_wholesale	-.0076305	.0266853	-0.29	0.775	-.0600911	.04483
1.purpose_develop	-.0160858	.013729	-1.17	0.242	-.0430755	.010904
1.purpose_license	-.0056875	.0187971	-0.30	0.762	-.0426406	.0312656
1.purpose_service	-.018591	.0178866	-1.04	0.299	-.0537542	.0165722
1.purpose_marketing	-.0069409	.0199221	-0.35	0.728	-.0461057	.0322239
1.purpose_supply	-.0228701	.0312064	-0.73	0.464	-.0842187	.0384784
1.purpose_manufacture	.0155208	.0200557	0.77	0.439	-.0239067	.0549483
1.PARTSAMEAUDITOR	-.0032864	.014876	-0.22	0.825	-.0325311	.0259584
1.PARTSAMEBEAREGION	-.0145072	.0166595	-0.87	0.384	-.0472581	.0182437
ebitda_at3	-.616252	.1823795	-3.38	0.001	-.9747914	-.2577126
RnDExp3	.1072802	.1778875	0.60	0.547	-.2424283	.4569887
AdExp3	.1603854	.3190612	0.50	0.615	-.4668562	.7876271
SGA3	-.0138164	.0676594	-0.20	0.838	-.1468278	.1191949
CapEx3	.0832395	.171643	0.48	0.628	-.254193	.420672
ChangeSale3	-.3862953	.1311618	-2.95	0.003	-.6441459	-.1284446
Leverage3	-.2315044	.0835857	-2.77	0.006	-.3958253	-.0671836
Cash3	-.1167776	.1083255	-1.08	0.282	-.3297345	.0961792
1.MNE3	.0199237	.0188583	1.06	0.291	-.0171498	.0569973
1.NOL3	.020983	.0214437	0.98	0.328	-.0211731	.0631391
Intangibles3	.0780588	.0552531	1.41	0.159	-.0305632	.1866809
PPE3	.0846956	.0410055	2.07	0.040	.0040829	.1653083
size3	-.010973	.0052074	-2.11	0.036	-.0212103	-.0007357
_cons	.5115696	.0652861	7.84	0.000	.3832238	.6399154

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
YEAR	20	0	**20**

```
82.                 *Table 5 Panel B Specification 2
83.                 reghdfe DELTA_CASH_ETR3 i.hightolow##i.PARTSAMEIND $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(YEAR) vce(clus
  > ter CUSIPNUM)
  (MWFE estimator converged in 1 iterations)

  HDFE Linear regression                            Number of obs   =        828
  Absorbing 1 HDFE group                            F(  25,    401) =       1.60
  Statistics robust to heteroskedasticity           Prob > F        =     0.0355
                                                    R-squared       =     0.1679
                                                    Adj R-squared   =     0.1212
                                                    Within R-sq.    =     0.1267
  Number of clusters (CUSIPNUM) =        402        Root MSE        =     0.7300

                                    (Std. Err. adjusted for 402 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1330745	.0783073	-1.70	0.090	-.2870185	.0208695
1.PARTSAMEIND	-.0601518	.069862	-0.86	0.390	-.1974934	.0771897
hightolow#PARTSAMEIND						
1 1	.0030356	.1156761	0.03	0.979	-.2243718	.2304429
1.purpose_wholesale	-.0614945	.1201972	-0.51	0.609	-.2977899	.1748008
1.purpose_develop	-.1058445	.0551171	-1.92	0.056	-.2141991	.0025101
1.purpose_license	.0076072	.0775822	0.10	0.922	-.1449115	.1601259
1.purpose_service	-.0293599	.0710844	-0.41	0.680	-.1691045	.1103846
1.purpose_marketing	.0245815	.1092689	0.22	0.822	-.19023	.239393
1.purpose_supply	-.0695539	.1064849	-0.65	0.514	-.2788924	.1397845
1.purpose_manufacture	-.012022	.0790874	-0.15	0.879	-.1674997	.1434558
1.PARTSAMEAUDITOR	.0362356	.0591377	0.61	0.540	-.080023	.1524942
1.PARTSAMEBEAREGION	-.0837967	.0687342	-1.22	0.224	-.2189211	.0513277

ebitda_at3	-1.958993	.5890084	-3.33	0.001	-3.116924	-.8010632
RnDExp3	1.05494	.7362722	1.43	0.153	-.3924959	2.502375
AdExp3	-.7577944	1.129863	-0.67	0.503	-2.978989	1.4634
SGA3	.2507339	.2914585	0.86	0.390	-.3222437	.8237116
CapEx3	1.077252	.8529578	1.26	0.207	-.5995757	2.754079
ChangeSale3	-1.749267	.4970763	-3.52	0.000	-2.726468	-.7720657
Leverage3	-.5657124	.3154117	-1.79	0.074	-1.185779	.0543548
Cash3	-.704562	.4232921	-1.66	0.097	-1.536711	.1275869
1.MNE3	.1090483	.0713456	1.53	0.127	-.0312099	.2493065
1.NOL3	.0045469	.0842463	0.05	0.957	-.1610726	.1701664
Intangibles3	.2837634	.2084262	1.36	0.174	-.1259812	.693508
PPE3	.2507084	.1311066	1.91	0.057	-.0070337	.5084504
size3	-.0046927	.0182807	-0.26	0.798	-.0406307	.0312453
_cons	1.341089	.2442058	5.49	0.000	.8610058	1.821173

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
YEAR	20	0	**20**

```
84.
85.                 //Table 5 Panel C
86.                 *PARTSAMEAUDITOR
87.                 *Table 5 Panel C Specification 1
88.                 reghdfe CASH_ETR3 i.hightolow##i.PARTSAMEAUDITOR $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR) vce(cl
  > uster CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        828
  Absorbing 2 HDFE groups                           F(  24,    401) =       1.86
  Statistics robust to heteroskedasticity           Prob > F        =     0.0089
                                                    R-squared       =     0.1800
                                                    Adj R-squared   =     0.1227
                                                    Within R-sq.    =     0.1473
  Number of clusters (CUSIPNUM) =        402        Root MSE        =     0.1801

                                        (Std. Err. adjusted for 402 clusters in CUSIPNUM)
```

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0352651	.0164875	-2.14	0.033	-.0676777	-.0028525
1.PARTSAMEAUDITOR	-.0150631	.0171078	-0.88	0.379	-.0486952	.018569
hightolow#PARTSAMEAUDITOR						
1 1	.0377316	.0340399	1.11	0.268	-.0291873	.1046505
1.purpose_wholesale	.006071	.0272971	0.22	0.824	-.0475923	.0597343
1.purpose_develop	-.016725	.013184	-1.27	0.205	-.0426433	.0091934
1.purpose_license	-.0062722	.0188098	-0.33	0.739	-.0432503	.0307058
1.purpose_service	-.0193894	.0182235	-1.06	0.288	-.0552149	.016436
1.purpose_marketing	-.0040843	.0202637	-0.20	0.840	-.0439206	.035752
1.purpose_supply	-.0204999	.0316567	-0.65	0.518	-.0827337	.0417339
1.purpose_manufacture	.0126878	.0203423	0.62	0.533	-.027303	.0526786
1.PARTSAMEBEAREGION	-.0156532	.0174638	-0.90	0.371	-.0499852	.0186788
ebitda_at3	-.6363756	.1895926	-3.36	0.001	-1.009095	-.263656
RnDExp3	.1295062	.1844088	0.70	0.483	-.2330226	.492035
AdExp3	.2211683	.3456088	0.64	0.523	-.4582632	.9005998
SGA3	-.0187145	.0665151	-0.28	0.779	-.1494765	.1120474
CapEx3	.0734282	.1803994	0.41	0.684	-.2812185	.4280749
ChangeSale3	-.3899782	.1321222	-2.95	0.003	-.6497169	-.1302394
Leverage3	-.2102229	.0881749	-2.38	0.018	-.3835657	-.0368802
Cash3	-.1252536	.1130121	-1.11	0.268	-.3474238	.0969165
1.MNE3	.0187803	.0197657	0.95	0.343	-.020077	.0576375
1.NOL3	.0205439	.0221799	0.93	0.355	-.0230594	.0641473
Intangibles3	.0695291	.065065	1.07	0.286	-.0583819	.1974402
PPE3	.085232	.0589865	1.44	0.149	-.0307295	.2011935
size3	-.0096788	.0057157	-1.69	0.091	-.0209153	.0015578
_cons	.4947436	.0760361	6.51	0.000	.3452644	.6442229

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	20	1	**19**

```
89.                 *Table 5 Panel C Specification 2
90.                 reghdfe DELTA_CASH_ETR3 i.hightolow##i.PARTSAMEAUDITOR $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR)
  > vce(cluster CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        828
  Absorbing 2 HDFE groups                           F(  24,    401) =       1.65
  Statistics robust to heteroskedasticity           Prob > F        =     0.0282
                                                    R-squared       =     0.1786
                                                    Adj R-squared   =     0.1212
                                                    Within R-sq.    =     0.1286
  Number of clusters (CUSIPNUM) =        402        Root MSE        =     0.7300

                                        (Std. Err. adjusted for 402 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1709832	.0634705	-2.69	0.007	-.2957597	-.0462067
1.PARTSAMEAUDITOR	-.0094364	.0701195	-0.13	0.893	-.1472842	.1284114
hightolow#PARTSAMEAUDITOR						
1 1	.1788619	.1334985	1.34	0.181	-.0835825	.4413064
1.purpose_wholesale	.0015699	.124283	0.01	0.990	-.2427578	.2458976
1.purpose_develop	-.103741	.0543565	-1.91	0.057	-.2106003	.0031183
1.purpose_license	.0146613	.0788029	0.19	0.852	-.140257	.1695797
1.purpose_service	-.0375911	.0705766	-0.53	0.595	-.1763374	.1011552

1.purpose_marketing	.0526687	.113789	0.46	0.644	-.1710287	.2763662
1.purpose_supply	-.075174	.1158493	-0.65	0.517	-.3029218	.1525739
1.purpose_manufacture	-.0295987	.0821888	-0.36	0.719	-.1911734	.131976
1.PARTSAMEBEAREGION	-.0696192	.0725677	-0.96	0.338	-.2122798	.0730415
ebitda_at3	-1.864101	.6037855	-3.09	0.002	-3.051081	-.6771207
RnDExp3	1.054727	.7517433	1.40	0.161	-.4231232	2.532577
AdExp3	-.2589116	1.140556	-0.23	0.821	-2.501128	1.983305
SGA3	.2328106	.291152	0.80	0.424	-.3395643	.8051855
CapEx3	1.037412	.8858531	1.17	0.242	-.7040848	2.778908
ChangeSale3	-1.705858	.5024889	-3.39	0.001	-2.6937	-.7180165
Leverage3	-.6875594	.2980816	-2.31	0.022	-1.273557	-.1015615
Cash3	-.8457084	.4400429	-1.92	0.055	-1.710788	.0193708
1.MNE3	.0954245	.0808831	1.18	0.239	-.0635833	.2544323
1.NOL3	.0274462	.0861298	0.32	0.750	-.1418762	.1967686
Intangibles3	.2944657	.2265854	1.30	0.194	-.150978	.7399094
PPE3	.2762433	.1832053	1.51	0.132	-.0839196	.6364063
size3	-.0101238	.0188957	-0.54	0.592	-.0472707	.0270232
_cons	1.395665	.268426	5.20	0.000	.8679672	1.923363

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	20	1	**19**

```
91.         }
92.
93.         {       //Table 6 Robustness Checks: Alternative Explanations
94.
95.                 //Table 6 Panel A
96.                 *Exclude Non-Survivors (network falls within last 3 years of firms in sample) (controls for substitution of cash
  >  ETR3 by cash ETR1 in firm-edge years)
97.                 reghdfe DELTA_CASH_ETR3 i.hightolow $NETWORKlist $PARTNERlist $FIRMlist if LAST >= 2, absorb(IND YEAR) vce(clust
  > er CUSIPNUM)
  (dropped 1 singleton observations)
  (MWFE estimator converged in 6 iterations)
```

HDFE Linear regression		Number of obs	= **726**
Absorbing 2 HDFE groups		F(**23**, **341**)	= **1.71**
Statistics robust to heteroskedasticity		Prob > F	= **0.0235**
		R-squared	= **0.2254**
		Adj R-squared	= **0.1680**
		Within R-sq.	= **0.1655**
Number of clusters (**CUSIPNUM**) =	**342**	Root MSE	= **0.6949**

(Std. Err. adjusted for **342** clusters in CUSIPNUM)

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1368715	.0566225	-2.42	0.016	-.2482449	-.0254981
1.purpose_wholesale	-.0116174	.1307819	-0.09	0.929	-.2688582	.2456235
1.purpose_develop	-.0822825	.056939	-1.45	0.149	-.1942783	.0297134
1.purpose_license	-.0199512	.0760692	-0.26	0.793	-.1695752	.1296728
1.purpose_service	-.0705384	.0663572	-1.06	0.289	-.2010594	.0599826
1.purpose_marketing	.1052836	.1215114	0.87	0.387	-.1337228	.3442899
1.purpose_supply	.0025783	.118539	0.02	0.983	-.2305813	.235738
1.purpose_manufacture	-.0766353	.0719791	-1.06	0.288	-.2182142	.0649436
1.PARTSAMEAUDITOR	.0416295	.0659518	0.63	0.528	-.0880941	.1713532
PROXIMITY	-.2463532	.177779	-1.39	0.167	-.5960348	.1033284
ebitda_at3	-1.75246	.610431	-2.87	0.004	-2.953145	-.5517761
RnDExp3	.8558997	.8153479	1.05	0.295	-.7478449	2.459644
AdExp3	-1.185622	1.148281	-1.03	0.303	-3.444229	1.072985
SGA3	.3344863	.3242184	1.03	0.303	-.3032335	.9722061
CapEx3	1.678267	.9971677	1.68	0.093	-.2831073	3.639641
ChangeSale3	-2.142293	.5565276	-3.85	0.000	-3.236952	-1.047633
Leverage3	-.7369448	.2842213	-2.59	0.010	-1.295993	-.1778971
Cash3	-.9302252	.4872176	-1.91	0.057	-1.888555	.0281051
1.MNE3	-.0268129	.0789603	-0.34	0.734	-.1821235	.1284977
1.NOL3	-.0049519	.0862148	-0.06	0.954	-.1745316	.1646279
Intangibles3	.2785793	.2624286	1.06	0.289	-.2376033	.7947619
PPE3	.2263908	.1966775	1.15	0.251	-.1604631	.6132447
size3	-.0088543	.0191766	-0.46	0.645	-.0465736	.028865
_cons	1.454695	.282547	5.15	0.000	.8989409	2.01045

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	11	0	**11**
YEAR	18	1	**17**

```
98.
99.                 //Table 6 Panel B
100                 reghdfe CASH_ETR3 i.lowtohigh $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR) vce(cluster CUSIPNUM)
  (dropped 3 singleton observations)
  (MWFE estimator converged in 7 iterations)
```

HDFE Linear regression		Number of obs	= **261**
Absorbing 2 HDFE groups		F(**23**, **141**)	= **1.14**
Statistics robust to heteroskedasticity		Prob > F	= **0.3122**
		R-squared	= **0.2554**
		Adj R-squared	= **0.0824**
		Within R-sq.	= **0.1382**
Number of clusters (**CUSIPNUM**) =	**142**	Root MSE	= **0.1350**

(Std. Err. adjusted for **142** clusters in CUSIPNUM)

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.lowtohigh	-.0206764	.0211443	-0.98	0.330	-.0624773	.0211244
1.purpose_wholesale	.024593	.0310874	0.79	0.430	-.0368646	.0860507
1.purpose_develop	.015563	.0225065	0.69	0.490	-.0289307	.0600567
1.purpose_license	.0131542	.0311942	0.42	0.674	-.0485146	.074823
1.purpose_service	.0049363	.0185585	0.27	0.791	-.0317526	.0416251
1.purpose_marketing	.0362385	.034669	1.05	0.298	-.0322998	.1047768
1.purpose_supply	-.0520344	.0313563	-1.66	0.099	-.1140236	.0099548
1.purpose_manufacture	-.0263024	.0230094	-1.14	0.255	-.0717904	.0191857
1.PARTSAMEAUDITOR	-.0066783	.0211691	-0.32	0.753	-.0485282	.0351715
1.PARTSAMEBEAREGION	-.0002643	.0232453	-0.01	0.991	-.0462188	.0456901
ebitda_at3	-.2603948	.2559693	-1.02	0.311	-.7664285	.2456389
RnDExp3	.1256109	.2416183	0.52	0.604	-.3520519	.6032737
AdExp3	-.209087	.5416295	-0.39	0.700	-1.279851	.8616775
SGA3	-.1506764	.1455304	-1.04	0.302	-.43838	.1370272
CapEx3	.0432431	.1135364	0.38	0.704	-.1812106	.2676969
ChangeSale3	-.2049838	.1555075	-1.32	0.190	-.5124114	.1024438
Leverage3	.0992118	.1042159	0.95	0.343	-.1068158	.3052394
Cash3	-.0914539	.0836224	-1.09	0.276	-.2567695	.0738618
1.MNE3	.0592009	.0318141	1.86	0.065	-.0036934	.1220952
1.NOL3	.0046743	.0226398	0.21	0.837	-.0400831	.0494317
Intangibles3	.0328366	.0964497	0.34	0.734	-.1578379	.2235111
PPE3	-.1201262	.0459094	-2.62	0.010	-.2108859	-.0293665
size3	-.0123846	.0085349	-1.45	0.149	-.0292575	.0044883
_cons	.3583349	.1486747	2.41	0.017	.0644151	.6522546

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	9	0	**9**
YEAR	19	1	**18**

```
101         }
102
103         {       //Table 7 Robustness Checks: Alternative Identification Strategy
104                 reghdfe CASH_ETR3 i.HIGHTAXFIRM##c.PARTPRECETR3 $PARTNERlist $FIRMlist, absorb(IND IND_SA) vce(cluster CUSIPNUM)
```

(MWFE estimator converged in 8 iterations)

```
HDFE Linear regression                            Number of obs   =      1,092
Absorbing 2 HDFE groups                           F(  18,    501) =       5.39
Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                  R-squared       =     0.1945
                                                  Adj R-squared   =     0.1646
                                                  Within R-sq.    =     0.1660
Number of clusters (CUSIPNUM) =        502        Root MSE        =     0.1717
```

(Std. Err. adjusted for **502** clusters in CUSIPNUM)

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.HIGHTAXFIRM	.0882893	.0220678	4.00	0.000	.0449325	.1316461
PARTPRECETR3	-.0297575	.0463551	-0.64	0.521	-.1208317	.0613168
HIGHTAXFIRM#c.PARTPRECETR3						
1	.1300864	.0696985	1.87	0.063	-.0068508	.2670237
1.PARTSAMEAUDITOR	-.0074886	.0122182	-0.61	0.540	-.0314939	.0165167
PROXIMITY	-.0277476	.0374929	-0.74	0.460	-.1014102	.0459151
ebitda_at3	-.4514538	.1452998	-3.11	0.002	-.7369258	-.1659818
RnDExp3	.1488625	.1417857	1.05	0.294	-.1297053	.4274303
AdExp3	.156806	.2623004	0.60	0.550	-.3585383	.6721503
SGA3	-.0606372	.053696	-1.13	0.259	-.1661342	.0448599
CapEx3	.0940852	.1269941	0.74	0.459	-.1554214	.3435917
ChangeSale3	-.3092637	.1024918	-3.02	0.003	-.5106304	-.1078971
Leverage3	-.1310794	.067334	-1.95	0.052	-.2633713	.0012125
Cash3	-.1667962	.0782878	-2.13	0.034	-.3206091	-.0129833
1.MNE3	.0293965	.0146662	2.00	0.046	.0005815	.0582114
1.NOL3	.0174474	.0178844	0.98	0.330	-.0176903	.0525851
Intangibles3	-.0350414	.0501678	-0.70	0.485	-.1336066	.0635238
PPE3	.017572	.0484902	0.36	0.717	-.0776972	.1128412
size3	-.0137548	.0046892	-2.93	0.004	-.0229677	-.0045419
_cons	.4035532	.0653966	6.17	0.000	.2750679	.5320386

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
IND_SA	11	1	**10**

```
105         }
106
107 log close
```